



Writing Your Business Plan

Creating a business plan will help guide you at each stage of your business and convince others of its viability. The plan acts as a road map to get you from where you are now to where you want to be.

Why do you need a plan?

When you start a business, it may seem clear where you want to end up but not how you get there. Writing a concise business plan can give you focus and direction, explaining the objectives of the business, what it will sell, how you intend to win a market share, and how it will operate and promote

products or services. You can use your business plan to secure funding or investment, set goals, monitor the business's performance, or reinforce your own belief in the venture. Take time to research and write a plan—the more thorough you are, the more likely the business is to succeed.

How to write a business plan

Write your business plan clearly and explain any technical terms. Back up your business proposition with key market statistics and accurate projections of sales and profits.

1. EXECUTIVE SUMMARY

- › **A snapshot of your business** This may be the only part of your business plan that a busy investor looks at, so make sure it provides sufficiently compelling information. Although your business plan leads with the executive summary, it may be easier to write it last.
- › **The name and structure** Clarify the basics of your business, summarizing quickly what it will sell and to whom. Consider starting with an “elevator pitch” (see pp.86–87), which sells the business idea in brief, crystallizing its purpose and objectives.

2. THE BUSINESS

- › **Ownership** Provide details about the founders and managers and their roles. Include information on any relevant work experience, qualifications, and training—both received and planned.
- › **Trading** State briefly where the business will trade from and where it will buy the goods and materials it needs in order to operate.
- › **Products and services** Describe—in fuller detail than in the summary—what the business will sell. Include images of products or of the proposed service in action. Touch on what makes your products or services different.
- › **SWOT analysis** Review your business's strengths, weaknesses, opportunities, and threats (see p.155), and say how you propose to respond to them.